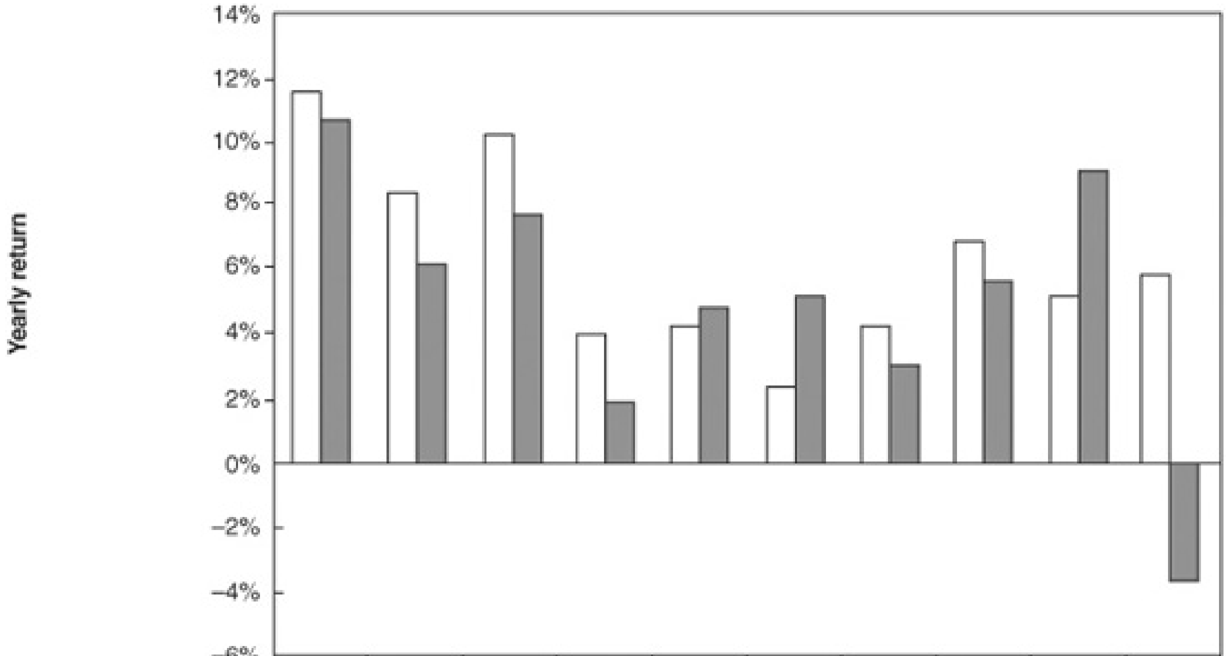
Government Bond Index (unhedged)



	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009
Barclays Capital Aggregate Bond Index	11.6%	8.4%	10.3%	4.1%	4.3%	2.4%	4.3%	7.0%	5.2%	5.9%
Citigroup Global Government Bond Index	10.7%	6.3%	8.0%	1.9%	4.8%	5.3%	3.1%	5.7%	9.2%	–3.7%

Figure 8-10 represents the hypothetical return comparison of the Citigroup Global Government Bond Index 1–30 years adjusted for a 0.15 percent mutual fund fee to the Citigroup Global Government Bond Index fund adjusted for a 0.5 percent mutual fund fee. The total return of the global bond portfolio was unimpressive, especially considering that during this period the U.S. dollar was down 20 percent against other world currencies. In addition, the global index had more volatility. It is hard to make a case for adding international bonds to a U.S. bond portfolio given the unimpressive performance during a period of strong dollar decline.

Emerging market bonds are also worth a look, although their record is not long. The first emerging market bond mutual funds were established in 1993.

Emerging market bonds have credit ratings on par with U.S. corporate high-yield bonds. The high risk rating is a result of a less developed economic and banking structure and increased political risk. The political